

HEDGEYE DAILY DIGEST

Wednesday, August 19, 2026 · Grouped for GMT+8

The macro regime is turning. Hedgeye's read is that July's #Quad4 disinflation is giving way to #Quad3 (inflation re-accelerating) now, with a #Quad2 growth-and-inflation reacceleration penciled in for Q4 2026. The tell is everywhere: oil broke out above its \$81 TRADE / \$83 TREND levels, the CRB Commodities Index is reflatting, long-end yields are pressing the tops of their ranges, and the 2s10s curve steepened to a new cycle high at +55bps. The playbook: fade emotion, follow the Signal — cover bond shorts into range tops, buy software (AMZN, MSFT) on red, own gold/copper, stay short TSLA, short the US Dollar.

Timezone note: "Today's Publications" covers Hedgeye's most recent completed publishing day (Tuesday, Aug 18 EDT), which lands overnight in Asia; "Yesterday's Publications" covers Monday, Aug 17 EDT. No weekend gap.

Today's Publications

EARLY LOOK — #Quad3 Bonds, Oil, Consumer, etc.

Early Look · Keith McCullough · 08/18/26 07:33 AM EDT

Keith frames the morning through *The Lion Tracker's Guide to Life*: read the landscape one signal at a time rather than forcing a thesis (the "Captain Ahab" trap of Old Wall stock-pickers). The macro message is a confirmed **Quad Shift out of #Quad4 and into #Quad3**, where inflation re-accelerates and bond yields — especially the long end — rise. Both **UST** and **JGB** 10yr yields are pushing toward the **top-ends of their Risk Ranges (TRRs)** this morning.

Quad positioning: #Quad3 now, with #Quad2 reacceleration expected in Q4 2026.

Key signals: **Oil is reflatting again** and back to **Bullish TRADE and TREND** (Alpha Code 8183 WTI); the **CRB Commodities Index is Bullish TRADE and TREND** with **Ag breaking out** and **Copper** coming off all-time highs. The **UST yield curve** is steepening to new cycle steeps — **10yr minus 2yr = +55bps**, up from a late-June bottom of **+23bps** — while the **10yr vs. BBB spread** is essentially unchanged (down 1bp on the month), signalling no credit stress. Hedgeye is **long IVOL** (the steepener).

On the consumer: **#Quad3 Stagflation is the worst monthly Quad for Consumer Discretionary (XLY)**. XLY led losers at **-1.2%** on the day (**-2.2% YTD**), dragged partly by **TSLA** (still short). By contrast, **Oil is +47% YTD**. Keith would **buy AMZN on red** — a Quad 4 short he now wants to be long into **monthly Quads 1 & 2 in September and October**, as it approaches the low-end of its Risk Range.

Global 10yr Yield Risk Range Signals: UST 4.63–4.75%; German Bund 3.13–3.27%; JGB 2.84–2.95%.

Asset	Risk Range™	TREND
UST 10Y Yield	4.63 – 4.75	Bullish
High Yield (HYG)	79.30 – 79.81	Bullish
Inv. Grade Corp (LQD)	105.3 – 106.8	Bearish
S&P 500 (SPX)	7676 – 7815	Bullish
NASDAQ (COMPQ)	26103 – 26893	Bullish
Russell 2000 (RUT)	2995 – 3088	Bullish
Health Care (XLV)	164 – 171	Bullish
Equal Weight (RSP)	218.00 – 225.00	Bullish
Software (IGV)	99.00 – 107.00	Bullish
Volatility (VIX)	14.01 – 16.22	Bearish

Asset	Risk Range™	TREND
US Dollar (USD)	99.44 – 100.17	Bearish
WTI Crude (WTIC)	76.99 – 87.22	Bullish
Natural Gas (NATGAS)	2.52 – 2.85	Bearish
Gold (GOLD)	4276 – 4475	Bullish
Copper (COPPER)	6.45 – 6.71	Bullish
Silver (SILVER)	62 – 67	Bullish

Investment implication: Follow the Signal, not the narrative. Long the steepener (IVOL) and reflation (oil, copper, gold); cover bond shorts as yields tag range tops; stay short TSLA; buy AMZN/software into weakness ahead of the Quad 1 & 2 shift.

MOMO TRACKER — Mag7 (-1.1%), 5 of 8 RRs Downside > Upside

Momentum Stock Tracker · Christian Drake & Ryan Ricci · 08/18/26 08:54 AM EDT

The Mag7 basket fell **-1.1%** on the session. Across the eight tracked mega-caps, **5 of 8 Risk Ranges now show more downside than upside** — a cautious skew for momentum leadership. **TSLA carries the widest downside skew at -8.6%**, consistent with Hedgeye's standing short and the Consumer Discretionary weakness flagged in the Early Look. The product is a data dashboard of price, volume, volatility and RR signals, not an advisory.

THE MACRO SHOW — Summary Notes | Tuesday, August 18th, 2026

The Macro Show · 08/18/26 11:06 AM EDT

Bullish mentions: IVOL, Software (IGV), **AMZN, MSFT**, Gold (AAAU), New Zealand (ENZL), Euro (FXE). **Bearish:** 20+yr Treasuries (TLT), Investment Grade Credit (LQD), Qatar (QAT).

Oil breakout is the central signal — the move above **\$81 TRADE / \$83 TREND** is a "textbook Fractal Breakout" and part of the August shift from Quad 4 disinflation toward **Quad 3**. Oil is **~+50% YTD**; above \$83, continued momentum is expected in oil and energy stocks. The **CRB Index** has rebounded with strength across energy and ags (rubber, rice). Keith expects the next **CPI** to surprise the Fed and Wall Street to the **upside**, with the **August CPI nowcast** ticking up rather than decelerating.

Rates: Core expression is **long IVOL** (steepener) on a **2s10s spread of ~50–55bps** at a new cycle high. He remains **short TLT and LQD** but, with the 10yr near the top of its range, would **cover shorts back toward minimum size** — a tactical reduction, not a thesis reversal. The **MOVE Index** is back to bullish trend.

Equities: Not currently long the S&P 500 itself. Last Thursday's SPX setup was stretched — little upside left, short-dated calendar vol near an extreme low (**~8–9**), and crowded net-long CFTC positioning. A more meaningful SPX buy would need a **~0.9% decline** to the bottom of the range and calendar vol rising toward **12–14**. The correction is instead being used to buy single names. Keith runs **~28 asset allocations** now, far more than in Quad 4. **Nine of eleven sectors fell**, but **Energy and Technology were positive** — classic Quad 3.

Software is the priority: long software with **no semis** position. **AMZN** is an active buy — "for sale" three days, back to bullish trend — building **50–100bps at a time**. **MSFT** is also a buy near the low end of its range. DRAM back to bullish trend but no position yet.

International/FX: Japan held TRADE and TREND (bullish); China held a bullish trade breakout; New Zealand +~1%. Greece and Spain are watch-list longs. The **Euro** was a major winning trade — Keith trimmed a big chunk (incl. calls). **Qatar** remains the lone country short (**-2.6%/month**).

Commodities: "Buy the dip" in **gold** (a centerpiece exposure); a new **copper/copper-mining** allocation, with copper weakness viewed as a pullback entry. **CRAK and XLE** were sold for portfolio-construction reasons (to free capacity for software/quantum), **not** because energy signals broke — CRAK keeps making higher highs, fractal target **~62**.

Crypto: Ethereum bought two days then **sold** after failing trend; complex is "extremely weak." **Bitcoin Alpha Code 64/68** (~\$64K TRADE / \$68K TREND) — struggling to hold TRADE; above \$68K he'd buy the dip, otherwise no position.

CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

Capital Allocation Pro · 08/18/26 08:00 AM EDT

The latest **Model Portfolio changes went into effect using closing prices on Monday, August 10th, 2026** (detail in the Daily Dashboard / Model Portfolios). Trend and Tail levels for the **68 ETFs** were last refreshed using **July 31** closing prices, on the standard 3–4 week cycle. The team reiterated its "**pull vs. push**" philosophy — emails are sent only when the research demands immediate attention ("signal, not noise").

ALSO PUBLISHED TODAY

Signal Strength Stocks: 90 Stocks (6 Added, 5 Removed) (01:38 PM EDT) — **Added:** JBS, MRVL, URI, ATRO, NBIS, GRUSF. **Removed:** WYFI, TT, RH, CCL, EL.

CRYPTO QUANT | BTC (-0.1%) (07:40 AM EDT) — Treasury/GENIUS Act theme; on-chain whale behavior shifting from distribution toward accumulation.

Yesterday's Publications

EARLY LOOK — Quad Shift Breakouts & ATHs

Early Look · Keith McCullough · 08/17/26 07:42 AM EDT

What: Macro Monday note anchored on the **Short US Dollar** trade as the key macro factor. **Why:** The **Quad Shift out of July's #Quad4 and into a 3-1-2 sequence** favors down-dollar and reflation trades. **Positions:** Long Yen (FXV), Euro (FXE), Gold (GLD) vs. short USD (UUP); Gold carries the strongest inverse correlation to USD at **-0.93**. Bought a **UST curve steepener (IVOL)**.

Key numbers: CRB **+2.8%** on the week (Bullish TRADE/TREND); WTI **+5.4%** (back to Bullish TRADE, Neutral TREND); Copper ripped **ATHs, +3.4%** on the month; Corn **+4.6%**. 2yr yield **-2bps**, 10yr **+5bps** on the week to a new cycle-high curve steepness. The lone loser: **Brazil** — Real **-2.6%**, Bovespa **-3.2%** — stopped out; contrast with **Long Colombia** (Peso **+0.8%**, COLO at ATHs).

Takeaway: #GoAnywhere but "don't go everywhere"; position for the down-dollar reflation and steepener, use stops. **Risk Ranges (08/17):** SPX 7674–7824 (Bullish); UST10Y 4.61–4.73 (Bullish); USD 99.24–100.11 (Bearish); WTI 75.25–86.28 (Neutral); Gold 4203–4483 (Bullish); Copper 6.50–6.85 (Bullish).

THE MACRO SHOW — Summary Notes | Monday, August 17th, 2026

The Macro Show · 08/17/26 10:04 AM EDT

What: Full macro walkthrough. **Why:** Dollar weakness is the primary call — the **Dollar Index broke to fresh two-month lows** as the economy shifts away from Quad 4 toward Quads 1 & 2. **Positions:** Bullish Yen (FXV), Gold (AAAU), Euro (FXE), Equal-Weight S&P (RSP), Russell 2000 (IWM), steepener (IVOL), Lumber (WOOD), Software (IGV); Bearish Qatar (QAT).

Key numbers: Gold's 90-day correlation to USD **~-0.93**; Copper at another ATH; 2s10s widened **~25bps** off July, recently **~+53bps**, seen heading toward **~+75bps** in Quad 1/2. **Most important tactical point:** Hedgeye cut net equity exposure despite the bullish trend — from **~8 longs / 0 shorts to 4 longs / 3 shorts**, selling into green and adding hedges. **SoFi, Affirm, Amex** returned to the long side.

Takeaway: Stay positioned for the Quad shift (weaker dollar, gold/commodities, steepener) while using strength to trim and preserve dry powder for pullbacks.

ALSO PUBLISHED YESTERDAY

MOMO Tracker | Mag7 (-0.2%), TRENDS → 5 Bullish, 3 Bearish, 1 Neutral (08:20 AM EDT) — ATHs, positive gamma, Friday OpEx backdrop.

Capital Allocation Pro — Daily Dashboard | Model Portfolios (09:27 AM EDT).

Signal Strength Stocks: 89 Stocks (15 Added, 1 Removed) (12:12 PM EDT) — heavy net additions incl. FCFS, SOFI, AFRM, NFLX, DELL.

CRYPTO QUANT | BTC (+1.3%), ETH (+1.3%) (07:24 AM EDT) — ETF outflows -\$392M W/W; cost-basis levels ETFs \$82.5K / STH \$68.5K / LTH \$48.3K.